

Company Overview

REC is a Central Public Sector Undertaking under the Ministry of Power involved in financing projects in the complete power sector value chain from generation to distribution. [1]

Key Financial Ratios Table

Year	NPM %	ROE %	D/E	Interest Coverage	Asset Turnover	FCF (Cr)
2024	29.8%	20.4%	6.42	1.6	0.09	-59554.0
2023	28.3%	19.2%	6.55	1.6	0.08	-38303.0
2022	25.6%	19.6%	6.49	1.6	0.10	-1106.0
2021	23.6%	19.1%	7.53	1.5	0.09	-42651.0
2020	16.6%	14.0%	8.09	1.4	0.09	-32591.0
2019	22.6%	16.6%	7.07	1.5	0.09	-35409.0
2018	19.6%	13.7%	6.27	1.4	0.09	-32464.0
2017	25.9%	18.7%	4.99	1.7	0.12	6704.0
2016	23.6%	19.7%	5.86	1.6	0.12	-14034.0
2015	26.0%	21.3%	6.02	1.6	0.11	-23747.0

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Qualitative Investment Insights

Strengths (Pros):

- Operating profit margin above 25% indicates strong pricing power and cost discipline
- Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding

Risks & Concerns (Cons):

- Free cash flow negative for 3 consecutive years raises concern about cash generation quality
- Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility